CFA Level I Mock Exam 6.2 - Questions

Choose one answer for each question.

Question 1

A measure of the sensitivity of a bond's price to a change in a specific maturity segment of the benchmark yield curve best defines:

A. key rate duration.

B. effective duration.

C. modified duration.

Question 2

An analyst assumes that a company's market share gains will decline smoothly to zero over the next five years. Which of the following best describes this forecast approach and object?

A. Discretionary forecast of a top-down revenue driver

B. Historical base rates and convergence forecast of a top-down revenue driver

C. Historical base rates and convergence forecast of a bottom-up revenue driver

Question 3

A portfolio's investment strategy relies on a particular element of the tax code to produce superior after-tax returns for high-net-worth individuals. Because of this strategy, the portfolio most likely faces a high level of:

A. legal risk.

B. model risk.

C. compliance risk.

Question 4

The expected return for a security is equal to the market's risk premium. If the risk-free rate is positive and the CAPM holds, the beta of the security is:

A. less than 1.

B. equal to 1.

C. greater than 1.

Question 5

With regard to their investment in pension plans, employees with defined contribution plans accept:

A. inflation risk only.

B. investment risk only.

C. both inflation and investment risks.

Question 6

Redemption regimes are a feature of:

A. covered bonds.

B. auto loan-backed securities.

C. commercial mortgage-backed securities.

Question 7

Private equity securities most likely:

A. are highly illiquid.

B. trade on active secondary markets.

C. have market determined quoted prices.

Question 8

An analyst gathers the following information about a hedge fund:

Beginning-of-year assets under management (AUM)	$100,000,000
Annual gross return	15%
Management fee, based on end-of-year AUM	2%
Incentive fee	20%
Hard hurdle rate	5%

If the incentive fee is based on returns net of management fees, total fees for the year are:

A. $3,840,000.

B. $4,300,000.

C. $4,840,000.

Question 9

The price of a forward contract most likely:

A. decreases as the price of the underlying goes up.

B. is constant and set as part of the contract specifications.

C. increases as market risk increases.

Question 10

With respect to risk governance, which of the following statements is most accurate?

A. With more usage of technology, less time is required to test data and models

B. Enterprise risk management requires that assets and liabilities be considered in isolation

C. Both financial assets and human capital can be considered in an individual’s risk allocation

Question 11

Compared with unregulated markets, regulated markets are best characterized by:

A. higher transaction costs.

B. lower trading volumes.

C. reduced arbitrage opportunities.

Question 12

Challenges in constructing fixed-income indexes most likely include that:

A. there is a small number of securities.

B. securities are relatively illiquid compared to equities.

C. fixed-income markets are predominantly order-driven markets.

Question 13

The first date a buyer of shares is not entitled to an announced dividend is the:

A. declaration date.

B. ex-dividend date.

C. holder-of-record date.

Question 14

Commodity futures prices are most likely in backwardation when:

A. interest rates are high.

B. storage costs are high.

C. the convenience yield is high.

Question 15

In the context of venture capital financing, seed-stage financing most likely supports:

A. initial commercial production and sales.

B. product development and/or marketing efforts.

C. transformation of an idea into a business plan.

Question 16

Consider a put option selling for $4 in which the exercise price is $58. What is the profit for a put buyer if the price of the underlying at expiration is $57?

A. –$3

B. $1

C. $3

Question 17

Base-rate neglect is a type of:

A. hindsight bias.

B. endowment bias.

C. representativeness bias.

Question 18

A mechanism that allows a hedge fund to temporarily restrict redemptions by all investors is known as a:

A. gate.

B. notice period.

C. lockup period.

Question 19

The partnership agreement of a private equity fund has no catch-up clause and includes the following:

Hurdle rate	9.0%
Performance fee	20.0%

Profits generated by the fund are allocated between limited partners and the general partner according to an 80/20 split. If the general partner has achieved an IRR of 22.0% for an investment, the general partner's return from the performance fee is closest to:

A. 1.8%.

B. 2.6%.

C. 4.4%.

Question 20

If a floating-rate note is trading at a discount to par, this bond's required margin is:

A. less than the quoted margin.

B. the same as the quoted margin.

C. greater than the quoted margin.

Question 21

A characteristic of real assets is that they most likely:

A. trade in liquid markets.

B. are inexpensive to manage.

C. are unique assets with different attributes.

Question 22

A repo is best defined as a:

A. publicly traded, collateralized short-term security.

B. security that provides the holder the right to sell it back to the issuer at par.

C. sale of a security with an agreement by the seller to buy it back at a specified price.

Question 23

Compared to mutual funds, hedge funds most likely:

A. have increased operating constraints.

B. have a longer notice period for redemptions than a mutual fund.

C. use a traditional index benchmark to gauge investment performance.

Question 24

A company announces an unexpected improvement in its earnings forecast for the coming year. The announcement most likely immediately impacts:

A. the company's book value of equity only.

B. the company's market value of equity only.

C. both the company's book value of equity and the company's market value of equity.

Question 25

Which of the following sections of an IPS most likely provides information about specific types of assets to be excluded from a portfolio?

A. Procedures

B. Investment Guidelines

C. Statement of Duties and Responsibilities

Question 26

Only the seller can default on a(n):

A. swap.

B. option.

C. forward.

Question 27

Which of the following statements regarding alternative asset co-investing is correct? • Statement 1: The investor invests in assets indirectly through a fund. • Statement 2: The investor possesses rights to invest directly in the same assets

A. Statement 1 only

B. Statement 2 only

C. Both Statement 1 and Statement 2

Question 28

An analyst gathers the following information (in $ millions) about two companies for the year just ended:

	Company X	Company Y
Operating income	10	12
Depreciation and amortization	2	1
Interest expense	1	3
Debt	50	60

Based on an assessment of leverage, Company X has:

A. lower creditworthiness than Company Y.

B. the same creditworthiness as Company Y.

C. higher creditworthiness than Company Y.

Question 29

An analyst gathers the following information about a company for its fiscal year:

Net profit margin	8%
Total asset turnover	1.5
Financial leverage	1.2
EPS	€0.15
Dividend per common share	€0.10

The sustainable growth rate is closest to:

A. 3.2%.

B. 4.8%.

C. 9.6%.

Question 30

An increase in the dividend payout ratio will most likely increase the intrinsic value when using a(n):

A. multiplier model.

B. present value model.

C. asset-based valuation model.

Question 31

If Investor 1 has a lower risk aversion coefficient than Investor 2, will Investor 2's optimal portfolio have a higher expected return on the capital allocation line?

A. Yes

B. No because Investor 2 has a lower risk tolerance

C. No because Investor 2 has a higher risk tolerance

Question 32

An analyst gathers the following information about a company's earnings:

Retention rate	40%
Growth rate	1%

According to the Gordon growth model, if an investor's required return is 6%, the justified forward P/E is:

A. 8.

B. 10.

C. 12.

Question 33

A hedge fund begins the year with $120 million and earns a 25% return for the year. The fund charges a 1.5% management fee on end-of-year fund value and a 15% incentive fee on the return, net of the management fees, that is in excess of a 6% fixed hurdle rate. The fund's investors' return for the year, net of fees, is closest to:

A. 19.66%.

B. 20.56%.

C. 21.25%.

Question 34

All else being equal, which of the following bonds most likely has the highest yield to maturity?

A. Putable bonds

B. Convertible bonds

C. Contingent convertible bonds

Question 35

According to behavioral finance, observed overreaction in securities markets most likely occurs because of:

A. loss aversion.

B. disposition effect.

C. gambler's fallacy.

Question 36

Using put–call parity, a long call can best be replicated by going:

A. long the put, short the asset, and long the bond.

B. short the put, long the asset, and short the bond.

C. long the put, long the asset, and short the bond.

Question 37

The value of a European call option is inversely related: The value of a European call option is inversely related:

A. only to the risk-free interest rate.

B. only to the dividends paid by the underlying stock.

C. both to the risk-free interest rate and to the dividends paid by the underlying stock.

Question 38

With respect to index construction, which method of grouping companies most likely experiences the highest turnover in its constituents? Grouping by:

A. industry.

B. geography.

C. statistical similarities.

Question 39

Unlike traditional financial assets, digital assets are most likely:

A. subject to well-defined regulatory standards.

B. recorded in private ledgers maintained by central intermediaries.

C. valued based on anticipated price appreciation rather than underlying cash flow.

Question 40

Which of the following transactions most likely represents a fair value hedge?

A. Commodity futures to hedge inventory

B. Currency forward to hedge forecasted sales

C. Interest rate swap to a fixed rate for floating-rate debt

Question 41

If the current share price is $60, a trader who wants to purchase the share at $58 or less will most likely place a:

A. limit order.

B. market order.

C. stop-buy order.

Question 42

A lifecycle fund will most likely:

A. maintain a fixed asset allocation of stocks and bonds.

B. use tactical asset allocation to capture market opportunities.

C. change the asset allocation as the fund nears its target date.

Question 43

A trader enters into the following margin transaction:

Purchase price, per share	€100
Initial margin posted as equity	45%
Holding period	1 year
Unleveraged security return during the period	15%

Purchase price, per share	€100
Call money rate, one year	4%

If there are no dividends or commissions, and interest on the margin loan is paid at the end of the period, the trader's rate of return on the margin transaction is closest to:

A. 27.3%.

B. 28.4%.

C. 29.3%.

Question 44

In which form of market efficiency do security prices fully reflect private information?

A. Weak-form efficient

B. Semi-strong-form efficient

C. Strong-form efficient

Question 45

The data for two stocks in an index are as follows: Percent of Shares in Beginning of Period End of Period Dividends per Stock Shares Outstanding Market Float Price ($) Price ($) Share ($) A 5,000 90 40 45 1.00 B 2,000 100 68 60 0.50 Assuming the beginning value of the float-adjusted market-capitalization-weighted equity index is 100, the ending value is closest to:

A. 102.06.

B. 102.68.

C. 103.80.

Question 46

A trader sells a put option with an exercise price of $33.50 for $3.00. If the price of the underlying asset at expiration is $29.50, the trader's profit is:

A. –$1.00.

B. $1.00.

C. $4.00.

Question 47

A bond has a 10-year maturity, a $1,000 face value, and a 7% coupon rate. If the market requires a yield of 8% on similar bonds, it will most likely trade at a:

A. discount.

B. premium.

C. discount or premium, depending on its duration.

Question 48

A bond has an annual modified duration of 8 and an annual convexity measure of 150. If the bond's yield to maturity decreases by 140 bps, the change in the price of this bond is closest to:

A. 9.7%.

B. 12.7%.

C. 14.1%.

Question 49

At expiration, an option that is in the money will most likely have:

A. time value, but no exercise value.

B. exercise value, but no time value.

C. both time value and exercise value.

Question 50

Investing in an existing solar power plant is most appropriately categorized as a:

A. utility asset.

B. greenfield investment.

C. social infrastructure asset.

Question 51

An analyst gathers the following information about three companies and their common shares:

	Company 1	Company 2	Company 3
Next year's expected dividend (D_1)	$1.00	$1.00	$1.25
Dividend payout ratio	10%	20%	15%

All three companies have the same ROE of 10% and required return of 10%. Using the Gordon growth model, the company with the highest intrinsic value is:

A. Company 1.

B. Company 2.

C. Company 3.

Question 52

With respect to the capital market line, the market portfolio is best described as the:

A. optimal risky portfolio.

B. portfolio that maximizes an investor's utility.

C. optimal combination of the risk-free asset and a portfolio of risky assets.

Question 53

Which of the following statements is most accurate? In derivatives pricing:

A. investors are assumed to be risk averse.

B. expected payoffs of the derivative can be discounted at the risk-free rate.

C. a portfolio consisting of the underlying and the derivative must earn the risk-free rate plus a risk premium.

Question 54

An example of a negative bond covenant is a:

A. promise to pay required taxes.

B. limit on the issuance of additional debt.

C. requirement to comply with existing laws and regulations.

Question 55

The slope of the security market line is best derived from the:

A. beta of the security.

B. market risk premium.

C. risk-free rate of return.

Question 56

Which of the following statements is most accurate?

A. The value of a swap fluctuates as market conditions change

B. The price and the value of a swap are the same at expiration

C. The price of a swap at initiation is zero as there is no initial outlay of cash

Question 57

In a declining interest rate environment, an investor would find it most difficult to estimate future cash flows for which of the following bonds with similar maturities?

A. Putable bond

B. Floating-rate bond with a floor

C. Mortgage pass-through security

Question 58

An analyst gathers the following information on three investors. Each investor holds a bond with a Macaulay duration of 5.5 years in his portfolio:

	Investment Horizon
Investor A	5 years
Investor B	2 years
Investor C	8 years

All else equal, which investor is currently most vulnerable to an increase in interest rates?

A. Investor A

B. Investor B

C. Investor C

Question 59

The sensitivity of a bond's price to a change in the benchmark yield curve is best described as:

A. effective duration.

B. modified duration.

C. the price value of a basis point.

Question 60

An analyst gathers the following information about a bond:

Market Price	96.00
Market price if yields rise 1 basis point	95.92
Market price if yields fall 1 basis point	96.10

The price value of a basis point is:

A. 0.08.

B. 0.09.

C. 0.18.

Question 61

The convexity of putable bonds is:

A. always positive.

B. negative for a decrease in yield.

C. negative for an increase in yield.

Question 62

Which of the following is used by clearinghouses to determine the daily gain and loss to the parties of a futures contract?

A. Mark to market

B. Maintenance margin

C. Limit up and limit down

Question 63

In the private debt market, a hybrid loan structure that combines secured and unsecured debt into a single loan with a blended interest rate is best described as:

A. unitranche debt.

B. mezzanine debt.

C. a leveraged loan.

Question 64

The two-fund separation theorem states that all investors will hold a combination of the:

A. risk-free asset and the optimal risky portfolio.

B. risk-free asset and the global minimum-variance portfolio.

C. optimal risky portfolio and the global minimum-variance portfolio.

Question 65

The Gordon growth model is most appropriate for valuing the common stock of a dividend paying company that is:

A. young and just entering the growth phase.

B. mature and relatively insensitive to economic fluctuations.

C. experiencing growth that is higher than the sustainable growth rate.

Question 66

An analyst gathers the following balance sheet information (in $ millions) for a company:

Cash	2.5
Accounts receivable	7.5
Inventories	15.0
Net fixed assets	25.0

Cash	2.5
Total assets	50.0
Total liabilities	22.5
Common shareholders' equity	27.5
Total liabilities and equity	50.0

The market value of inventories is 110% of reported value and the market value of net fixed assets is 115% of reported value. All other values are as reported. There are 2.0 million shares outstanding and the current share price is $18.00. Using an asset-based valuation approach, the company's shares are most likely:

A. undervalued.

B. fairly valued.

C. overvalued.

Question 67

Based on historical returns, a portfolio has a Sharpe ratio of 2.0. If the mean return to the portfolio is 20%, and the mean return to a risk-free asset is 4%, the standard deviation of return on the portfolio is closest to:

A. 8%.

B. 10%.

C. 12%.

Question 68

With respect to return-generating models, statistical factor models:

A. only include factors that have economic meaning.

B. identify factors that explain the covariance in observed returns.

C. only include factors that have a fundamental connection to returns.

Question 69

A portfolio consists of two securities with the following characteristics: Expected Return Standard Deviation of Returns Security 1 17% 24% Security 2 6% 12% Security 2 6% 12% If the portfolio has an expected return of 12.6% and the returns of the two securities are uncorrelated, the portfolio's standard deviation is closest to:

A. 13.4%.

B. 15.2%.

C. 19.2%.

Question 70

A financial system is best described as operationally efficient when:

A. the costs of arranging trades are low.

B. asset and contract prices reflect all available information.

C. an economy's resources are used where they are most valuable.

Question 71

If futures prices are positively correlated with interest rates then futures contracts are mostly likely:

A. less desirable to holders of long positions than are forwards.

B. more desirable to holders of long positions than are forwards.

C. neither more or less desirable to holders of long positions than are forwards.

Question 72

A security's market value and intrinsic value are most likely the same if:

A. the market is efficient.

B. active investment is profitable.

C. the security's cash flows are complex.

Question 73

For a coupon bond with a positive yield, compounding more frequently within the year results in a yield-to- maturity that is:

A. less positive.

B. the same.

C. more positive.

Question 74

The option-free bonds of Argus Corporation have a duration of eight years. When interest rates rise by 100 bps, the bond's price declines by 7.9%. When interest rates fall by 100 bps, however, the price rises by 8.2%. The asymmetrical price change is most likely caused by the:

A. coupon effect.

B. maturity effect.

C. convexity effect.

Question 75

In a binomial option pricing model, the expected payoff is based on:

A. estimated probabilities and discounted at the risk-free rate.

B. risk-neutral probabilities and discounted at the risk-free rate.

C. risk-neutral probabilities and discounted at the risk-free rate plus a risk premium.

Question 76

In the portfolio management process, the decision whether to use a nominal or real return objective is most likely part of the:

A. planning step.

B. feedback step.

C. execution step.

Question 77

In relation to asset allocation, which of the following is a desirable property when specifying asset classes?

A. Asset classes should be mutually exclusive.

B. An asset class should contain heterogeneous assets.

C. Each asset class should be composed of assets with low paired correlations.

Question 78

With respect to a client's investment policy statement, the set of exposures to the permissible asset classes that is expected to achieve the client's long-term objectives best describes the:

A. security selection.

B. tactical asset allocation.

C. strategic asset allocation.

Question 79

When constructing an equity index, each company's weight in the index is dependent on its number of shares outstanding if the index is:

A. price weighted.

B. equal weighted.

C. market-capitilization weighted.

Question 80

The methodology used by a credit rating agency to adjust a specific bond issue rating is best described as:

A. notching.

B. cross-default.

C. structural subordination.

Question 81

One source of return for an investor in a fixed-rate corporate bond is most likely the:

A. bid-ask spread.

B. interest on the collateral.

C. reinvestment of coupon payments.

Question 82

The price of a fixed-rate corporate bond with an annual modified duration of 6.32 increases from 90 to 95 per 100 of par value. If the government benchmark yield declines by 5 bps, the estimated decline in the spread over the benchmark yield is closest to:

A. 82.9 bps.

B. 87.9 bps.

C. 92.9 bps.

Question 83

Which of the following statements about REITs is most accurate?

A. Adding real estate to a portfolio of traditional investments will increase portfolio risk

B. Adding real estate to a portfolio of traditional investments will decrease portfolio diversification

C. Equity REIT correlations with traditional investments are at their highest during steep market downturns

Question 84

An analyst gathers the following data for a 2-year option contract: Forward price 1.2000 USD/EUR Strike price 1.2250 USD/EUR Risk-free rate 5% Call premium 0.0500 USD/EUR Call premium 0.0500 USD/EUR USD/EUR is the amount of USD per 1 EUR The put premium is closest to:

A. 0.0273 USD/EUR.

B. 0.0727 USD/EUR.

C. 0.0750 USD/EUR.

Question 85

For non-amortizing, non-mortgage asset-backed securities, the lockout period most likely represents when:

A. investors start receiving repayments.

B. overcollateralization begins to be reduced.

C. repaid principal is reinvested in loans of equal principal.

Question 86

An analyst gathers the following information about a bond portfolio:

	Par Value	Book Value	Market Value	Modified Duration
Bond 1	$700,000	$750,000	$770,000	3
Bond 2	$825,000	$700,000	$850,000	8

The portfolio's duration is closest to:

A. 5.4.

B. 5.6.

C. 5.7.

Question 87

An investor purchases common shares at €22 per share on margin and deposits just enough money to cover the 60% initial margin requirement. If the maintenance margin requirement is 25%, the share price below which the investor will first receive a margin call is closest to: investor will first receive a margin call is closest to:

A. €11.73.

B. €16.50.

C. €17.60.

Question 88

An analyst gathers the following information about the forward curve for one-year rates: Time Period Forward Rate 0y1y 1.20% 1y1y 1.88% 2y1y 2.46% 3y1y 2.93% The price of a three-year, 5% annual-pay bond is closest to:

A. 107.42.

B. 109.18.

C. 111.73.

Question 89

An American waterfall distributes performance fees on a(n):

A. deal-by-deal basis and is more advantageous to the general partner than a European waterfall.

B. deal-by-deal basis and is more advantageous to the limited partners than a European waterfall.

C. aggregated fund level and is more advantageous to the limited partners than a European waterfall.

Question 90

A factor that most likely measures a client’s ability to bear risk is his or her:

A. time horizon.

B. personality type.

C. inclination to independent thinking.